

Bibitor LLC: ADA Engagement Objectives

Reference: AFM 244 Week 7, Slides 9 and 10

General Objective (Slide 9)

This ADA is performed to assess the risk of material misstatement that would result from Bibitor failing to record its inventory (spirits and wine) at the lower of weighted average cost (WAC) and net realizable value (NRV), in accordance with Bibitor's accounting policy and GAAP.

Bibitor estimates NRV as the amount inventories are expected to be sold for, less any costs necessary to make the sale. Inventories must be written down to NRV when management estimates that cost is not recoverable.

In plain terms: if a product's purchase cost to Bibitor is higher than what it sells for, Bibitor has not appropriately valued that inventory. The selling price serves as the indicator of NRV for this engagement.

Specific Objectives (Slide 10)

1. Pricing Consistency Analysis

Selling prices are supposed to be standardized across transactions. Determine whether every product was sold at a consistent price during the year.

For each brand, calculate the average, minimum, and maximum selling price, and the price range (max minus min). A range greater than zero indicates inconsistent pricing for that brand.

Example: Brand 72 had an average price of \$36.41, a minimum of \$34.99, and a maximum of \$39.99, giving a range of \$5.00.

2. Cost vs. Price Analysis

Identify any brands for which the average selling price (the indicator of NRV) is less than the average purchase cost to Bibitor. Where cost exceeds selling price, there is a risk of material misstatement related to a failure to write down inventory to NRV.

If items are being sold below cost, Bibitor is inaccurately estimating NRV, which indicates a potential material misstatement. The outcome of an audit in such cases would typically be a correcting journal entry (e.g. COGS method or loss on decline method, outside the scope of this course).

3. Misstatement Quantification

For each brand where cost exceeds selling price, quantify the potential inventory misstatement using the following approach:

Misstatement per brand = (average cost minus average selling price) multiplied by units in ending inventory for that brand.

Sum across all affected brands to arrive at the total potential misstatement.

Example: Brand 143 has an average cost of \$38.99 and an average selling price of \$38.70, a delta of \$0.29. With 9 units in ending inventory, the misstatement for this brand alone is \$2.57.